

Document 23. Globalisation

Topic overview. Globalisation is the deepening interconnection between economies through flows of goods, services, capital, technology and labour. The 9570 expects evaluation of its benefits, costs, and the recent deglobalisation trend.

Section A. Definitions

Globalisation	The growing integration of economies through cross-border flows.
Drivers	Liberalisation (FTAs), technology (containerisation, ICT), declining transport costs.
Flows	Trade in goods/services; capital (FDI, portfolio); technology; labour.
Deglobalisation	Partial reversal of integration via tariffs, friend-shoring, decoupling.

Section B. Benefits of Globalisation

- **Static gains:** lower prices, wider variety, scale economies.
- **Dynamic gains:** faster technology diffusion, productivity growth, innovation.
- **Growth gains:** poverty reduction in emerging Asia; rising real incomes.
- **Capital efficiency:** global savings allocated to highest-return investments.
- **Cultural and knowledge spillovers:** education, science, healthcare.

Section C. Costs of Globalisation

- **Structural unemployment** in advanced economy manufacturing.
- **Income inequality:** capital owners and high-skilled labour gain; low-skilled labour relatively loses.
- **Tax-base erosion:** profit-shifting and tax competition.
- **Environmental externalities:** shipping emissions, deforestation.
- **Financial contagion:** 1997 Asian crisis, 2008 GFC.
- **Cultural homogenisation:** loss of local industries and identity.

Section D. The Deglobalisation Trend (post-2017)

- **US–China trade war** (Section 301 tariffs from 2018).
- **COVID-19 supply chain shocks** prompted re-shoring and friend-shoring.
- **Geopolitical realignment:** CHIPS Act, IRA in US; semiconductor restrictions.
- **Russia–Ukraine war** fragmented energy and food markets.
- **ESG and climate:** carbon border taxes (EU CBAM).

Section E. Question Type: Evaluate Globalisation for a Country

Step 1. Define globalisation and the country's exposure (e.g. Singapore's trade-to-GDP >300%).
Step 2. Apply benefits and costs to context.
Step 3. Discuss policy responses: free-trade openness vs strategic resilience (food security, energy diversification, supply-chain mapping).
Step 4. Conclude on net effect: for small open economies, benefits typically outweigh costs, but resilience strategies are increasingly important.

Section F. Singapore's Globalisation Strategy

- **FTA network:** 27+ bilateral and regional FTAs.
- **Aviation hub:** Changi Airport; SIA premium positioning.
- **Sea hub:** PSA Singapore; Tuas mega-port from 2027.
- **Financial hub:** MAS-regulated; wealth and asset management centre.
- **Resilience strategy:** 30-by-30 food production; energy diversification (solar, hydrogen, regional electricity import).
- **Foreign reserves:** GIC and Temasek diversify across asset classes globally.

Section G. Worked Example

Worked Example 1: How does Singapore respond to deglobalisation?

Singapore's strategy is selective engagement, not retreat. (1) Strengthen rules-based FTAs (RCEP, CPTPP). (2) Build supply-chain redundancy (multiple food sources, energy mix, semiconductor diversification). (3) Invest in human capital (SkillsFuture) so the workforce captures higher value in a fragmented global economy. (4) Position as a neutral hub (foreign HQs, finance, dispute resolution).
Conclusion: small open economies cannot afford autarky; resilience comes from diversification and FTAs, not protectionism.